

When Grockit made this transition, the results were dramatic. In one case, they decided to test one of their major features, called lazy registration, to see if it was worth the heavy investment they were making in ongoing support. They were confident in this feature because lazy registration is considered one of the design best practices for online services. In this system, customers do not have to register for the service up front. Instead, they immediately begin using the service and are asked to register only after they have had a chance to experience the service's benefit.

For a student, lazy registration works like this: when you come to the Grockit website, you're immediately placed in a study session with other students working on the same test. You don't have to give your name, e-mail address, or credit card number. There is nothing to prevent you from jumping in and getting started immediately. For Grockit, this was essential to testing one of its core assumptions: that customers would be willing to adopt this new way of learning only if they could see proof that it was working early on.

As a result of this hypothesis, Grockit's design required that it manage three classes of users: unregistered guests, registered (trial) guests, and customers who had paid for the premium version of the product. This design required significant extra work to build and maintain: the more classes of users there are, the more work is required to keep track of them, and the more marketing effort is required to create the right incentives to entice customers to upgrade to the next class. Grockit had undertaken this extra effort because lazy registration was considered an industry best practice.

I encouraged the team to try a simple split-test. They took one cohort of customers and required that they register immediately, based on nothing more than Grockit's marketing materials. To their surprise, this cohort's behavior was exactly the same as that of the lazy registration group: they had the same rate of registration, activation, and subsequent retention. In other words, the extra effort of lazy registration was a complete waste even though it was considered an industry best practice.